

Risk parity Portfolio management approach where allocations are adjusted to the same volatility; often used with leverage to compensate for lower expected returns from large allocations to fixed income.

Risk premium Return in excess of the risk-free rate that is compensation for bearing additional risk.

Robust Continuing good performance despite changes in market conditions.

Roll yield Return generated in rolling short-term futures contracts into longer-term ones.

Selection bias Data selected on a nonrandom or nonuniform basis; may also apply to the selection of the data's starting date.

Self-attribution bias The tendency to reject negative feedback and overlook our own faults and failures; to attribute successful outcomes to our own skills, often when credit is not due, and to attribute unsuccessful outcomes to bad luck.

Separation theorem Separates the investment portfolio decision from the decision about the acceptable level of risk; the idea that there is a single optimal portfolio, then borrowing or lending, depending on one's attitude toward risk.

Serial correlation See *Autocorrelation*.

Sharpe ratio Excess return divided by the standard deviation of that return to determine reward per unit of risk; $\text{Sharpe ratio} = (\text{Return} - \text{Risk-free return}) / \text{Standard deviation of return}$.

Skewness Measure of the symmetry of a distribution; if the left tail is more pronounced, there is negative skewness, and if the reverse is true, there is positive skewness.